

State: New Jersey First Filing Company: State Farm Indemnity Company, ...
 TOI/Sub-TOI: 19.0 Personal Auto/19.0000 Personal Auto Combinations
 Product Name: PV-44685
 Project Name/Number: PV-44685/PV-44685

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User Usage Agreement Attachments

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Supporting Document Attachments

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Explanatory Memorandum [NJ Filing Packet.pdf](#)

Side by Side Comparison [New Jersey Rating Manual and Compare placeholder.pdf](#)

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State: New Jersey **First Filing Company:** State Farm Indemnity Company, ...
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Product Name: PV-44685
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Filing at a Glance

Companies: State Farm Indemnity Company
State Farm Guaranty Insurance Company

Product Name: PV-44685

State: New Jersey

TOI: 19.0 Personal Auto

Sub-TOI: 19.0000 Personal Auto Combinations

Filing Type: Rate/Rule

Date Submitted: 01/03/2022

SERFF Tr Num: SFMA-133095758

SERFF Status: Assigned

State Tr Num: 21-0002

State Status:

Co Tr Num: PV-44685

Effective Date: 03/07/2022

Requested (New):

Effective Date: 03/07/2022

Requested (Renewal):

Author(s): Ashlea Morgan, Ben Tucker, Heather Brady, Jamie Biancalana

Reviewer(s): Carmen Williams (primary)

Disposition Date:

Disposition Status:

Effective Date (New):

Effective Date (Renewal):

State: New Jersey **First Filing Company:** State Farm Indemnity Company, ...
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General Information

Project Name: PV-44685 Status of Filing in Domicile: Not Filed
Project Number: PV-44685 Domicile Status Comments:
Reference Organization: N/A Reference Number: N/A
Reference Title: N/A Advisory Org. Circular: N/A
Filing Status Changed: 01/03/2022
State Status Changed: Deemer Date:
Created By: Jamie Biancalana Submitted By: Heather Brady
Corresponding Filing Tracking Number:

Filing Description:

We respectfully submit a revision to our independent New Jersey Private Passenger Auto program, which has no rate impact on existing business in State Farm Indemnity nor in State Farm Guaranty.

We submit this filing to be effective on new policies dated March 7, 2022 and later.

Sincerely,

Jeff Clinch, F.C.A.S, CPCU, MAAA
309-766-9940
jeff.clinch.gfdl@statefarm.com

Michael Pittman, CPCU
309-766-1287
michael.pittman.lp33@statefarm.com

Company and Contact

Filing Contact Information

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One State Farm Plaza D-4 309-766-1287 [Phone]
Bloomington, IL 61710 309-766-0225 [FAX]

Filing Company Information

State Farm Indemnity Company	CoCode: 43796	State of Domicile: Illinois
1 State Farm Plaza	Group Code: 176	Company Type:
Bloomington, IL 61710	Group Name:	State ID Number:
(309) 766-6341 ext. [Phone]	FEIN Number: 37-1277771	

State Farm Guaranty Insurance Company	CoCode: 12251	State of Domicile: Illinois
1 State Farm Plaza	Group Code: 176	Company Type:
Bloomington, IL 61710	Group Name:	State ID Number:
(309) 766-6341 ext. [Phone]	FEIN Number: 20-2035381	

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Filing Fees

State Fees

Fee Required? No

Retaliatory? No

Fee Explanation:

SERFF Tracking #:	SFMA-133095758	State Tracking #:	21-0002	Company Tracking #:	PV-44685
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TOI/Sub-TOI:	19.0 Personal Auto/19.0000 Personal Auto Combinations				
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Rate Information

Rate data does NOT apply to filing.

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Rate/Rule Schedule

Item No.	Schedule Item Status	Exhibit Name	Rule # or Page #	Rate Action	Previous State Filing Number	Attachments
1		Rate Manual Pages	See Attached	Replacement		New Jersey Rating Manual and Compare placeholder.pdf

New Jersey Rating Manual

The rating manual and manual compare will be provided in a post submission update when it is available.

State:	New Jersey	First Filing Company:	State Farm Indemnity Company, ...
TOI/Sub-TOI:	19.0 Personal Auto/19.0000 Personal Auto Combinations		
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Supporting Document Schedules

Satisfied - Item:	Cover Letter
Comments:	N/A
Attachment(s):	
Item Status:	
Status Date:	

Satisfied - Item:	Explanatory Memorandum
Comments:	
Attachment(s):	NJ Filing Packet.pdf
Item Status:	
Status Date:	

Satisfied - Item:	Side by Side Comparison
Comments:	
Attachment(s):	New Jersey Rating Manual and Compare placeholder.pdf
Item Status:	
Status Date:	

Satisfied - Item:	Actuarial Certification Statement
Comments:	
Attachment(s):	New Jersey Actuarial Certification Statement.pdf
Item Status:	
Status Date:	

New Jersey Rating Manual

The rating manual and manual compare will be provided in a post submission update when it is available.

**NEW JERSEY AUTO INSURANCE PROGRAM
STATE FARM INSURANCE COMPANIES
Filing Memorandum**

March 7, 2022 for New and Renewal Business

With this filing, we are proposing a change of 0% to State Farm Indemnity and a change of 0% to State Farm Guaranty effective March 7, 2022 for New Business.

Customer Rating Index (CRI) - We are making adjustments within our new business CRI model. These adjustments will not affect any policies currently in force in this jurisdiction. Please reference Exhibit 1 and our confidential document for details and support for this change.

NEW JERSEY
STATE FARM INSURANCE COMPANIES
NAIC GROUP CODE: 176 NAIC COMPANY CODE: 12251 FILING ID #: PV-44685

EXHIBIT A
PRIOR APPROVAL FILINGS (N.J.A.C. 11:3-16B)

<u>Section</u>	<u>Item</u>	<u>Page #</u>
1)	Filing Requirements	
16.3(d)	Certification of compliance (exact text in regulation) signed by officer	Yes
16.3(e)	All data reported on direct basis exclusive of reinsurance	N/A
16.6(a)1	Cover letter including proposed revision, effective date, and company contact information	Yes
16.6(a)2	This checklist	Exhibit A
16.6(a)3	Appendix Exhibit B	N/A
16.6(a)4	Narrative overview	Yes
16.6(a)8	Proposed rates (or loss costs) for each territory and coverage together with their derivation	_____
16.6(a)9	Calculation demonstrating compliance with NJSA 17:29A-36	_____
16.6(a)10	Data in Microsoft Excel 2003 or compatible spreadsheet	N/A
16.6(a)11	Proposed manual rate and/or rule pages	Yes
16.6(c)	Revised Manual Pages	N/A
2)	Premium, Loss, and LAE Data – All data must be at total limits and/or basic limits and must be consistent throughout the filing. All data is to be provided by coverage by accident year for each of the latest three years.	
16.8(a)1	NJ direct earned premium (or loss cost) at present rates with supporting documentation	_____
16.8(a)2	Premium trend exhibits	_____
16.8(a)3	NJ direct earned exposures	_____
16.8(a)4	NJ direct paid and/or incurred losses	_____
16.8(a)5	NJ direct paid and/or incurred D & CC LAE	_____
16.8(a)6	NJ direct paid and/or incurred A & O LAE	_____
16.8(a)7	Ultimate developed loss and LAE	_____
16.8(a)8	NJ direct paid and/or incurred claim counts	_____
16.8(a)9	Ultimate developed claim counts	_____
16.8(a)10	Loss trend exhibits	_____
16.8(a)11	Trended ultimate developed loss and LAE	_____
16.8(b)	(Required only if losses are separated into catastrophe and non-catastrophe) • Clear description and justification of the standard used • At least 10 years used to determine catastrophe load • Explanation if database used for catastrophe load is different from that used for rate level change	_____ _____ _____
16.8(c)	(Required only if territorial factors are changing) • Territorial rate indications	N/A
16.8(d)	(Required only if classification factors are changing) • Differentials and loss ratios by class	N/A
16.8(e)	(Required only if tier relativities are changing) • Differentials and loss ratios by tier	N/A
16.8(f)	Credibility exhibits	_____
3)	Expense Data	
16.9(a)1	Selected expense provisions and related information	_____
16.9(a)2i	Commission and Brokerage expenses from NJ Page 14	_____
16.9(a)2ii	Other acquisition expenses from IEE	_____
16.9(a)2iii	General expenses from IEE	_____
16.9(a)2iv	Taxes, Licenses, and Fees expenses from NJ Page 14	_____
16.9(a)3	Finance and other miscellaneous charges	_____
16.9(a)4	Description of affiliated-company transactions	_____
16.9(b)	Expense fattening per NJSA 17:29A-37	_____
16.9(c)	Expenses Capped by Appendix Exhibit E Calculation (available on DOBI website)	_____
16.9(d)	Excluded Expenses (state if none)	_____
16.9(e)	Bodily Injury Liability Commissions equalized using Appendix Exhibit C	_____
16.9(f)	Expense data on direct basis	_____
4)	Profit and contingency provision	
16.10(a)	Profit and contingency provision does not result in rates that are excessive, inadequate, or unfairly discriminatory	_____

Authority - N.J.S.A. 17:1-8.1, 17:1-15.e, 17:17-1 et seq., and 39:6A-1 et seq.

NEW JERSEY DEPARTMENT OF BANKING AND INSURANCE

ADDITIONAL INFORMATION REQUIRED FOR REVIEW OF STATE FARM'S GLMs

1) Data used in the creation and testing of the model

- a) Document the sources of data, both internal and external.
The adjustments added in the model update this time did not involve building a new model. The adjustments were created using loss ratio analysis. The data used to build the adjustment uses premium that was adjusted to reflect the current-leveled CRI factor.
- b) Document the scope of the data (years, companies, geographies, etc.).
The proposed adjustments were built using policies written in 2015 with 2-year of subsequent experience. Several states were excluded in the building of adjustments (including New Jersey) due to differences in the rating and underwriting structures. However, the model was validated on New Jersey data. The proposed adjustments to the model are based on New Jersey loss experience as provided in Confidential Exhibit 2.
- c) If "countrywide" data was used, provide the percentage distribution of states in the dataset.
When using countrywide data in initial CRI model building, New Jersey makes up about 1% of the data. However, New Jersey experience was used to determine both adjustments being added in the new business CRI model.
- d) Document the process for reviewing the appropriateness and accuracy of the data.
Univariate distributions, including distribution of values, amount of missingness, and visualizations, were considered to check the validity of the data.
- e) Identify any material limitations or defects found or believed to exist in the data.
No limitations identified.
- f) What, if any, data was excluded and how does that impact the results?
Observations without positive subsequent premium amount were excluded from the analysis.
- g) Describe any limitations of the analysis resulting from the issues or concerns with the data.
There were no issues with the data identified.

- h) Describe any adjustments made to the raw data (trend, development, exclusion of cats, etc.).
The premium used in building the adjustment was adjusted to reflect the current CRI model before building the adjustment.
- i) What percent of the data was used for training versus testing (hold-out)?
N/A - The adjustments added in the model update this time did not involve building a new model.
- j) If this is an update of a model previously approved, describe material changes in data.
There is no material change in the data.

2) Variables used and Adjustments Made

- a) List ALL variables used in the model, including geodemographic control variables, with a common language description of each.
N/A - The adjustments added in the model updated this time did not involve building a new model. The adjustments were created using loss ratio analysis. Please see Revised Confidential Exhibit C page 3 for a list of the variables originally included in the model as well as the new variables being added in red. Please also refer to the Confidential Filing Memo for additional detail and reasoning for the changes by tenure for accident free current State Farm customers.
- b) Provide table showing which variables are used in the models for each peril/coverage.
N/A - The adjustments added in the model update this time did not involve building a new model. The adjustments were created using loss ratio analysis. Please see Revised Confidential Exhibit C page 3.
- c) Document whether the variables are continuous, discrete, or categorical.
One added variable is categorical; all other added variables are discrete. Please review the confidential exhibits for more information.
- d) Explain any transformations that were made to the variables (natural log, binning, etc.).
The groups for these variables are demonstrated by the groups used in the filing exhibit.
- e) Describe any offsets, weights, or other variables used in the model.
N/A - The adjustments added in the model update this time did not involve building a new model. The adjustments were created using loss ratio analysis.
- f) Does the model target pure premium or frequency and severity separately? Why?
The adjustment is based on loss ratio analysis.

- g) If this is an update of a model previously approved, describe material changes in above.

Please see the confidential exhibits for updates. Confidential Exhibit C page 25 is new. Revised Confidential Exhibit C pages 1, 3, and 20 show the updates being made in red.

3) Assumptions and Model Validation

- a) Document the distributions, parameters, and link functions chosen in the model.

- (1) the link function;

N/A - The adjustments added in the model update this time did not involve building a new model.

- (2) the error distribution;

N/A - The adjustments added in the model update this time did not involve building a new model.

- b) Describe tests for and adjustments made for correlation, multicollinearity, or aliasing.

N/A - The adjustments added in the model update this time did not involve building a new model.

- c) Provide the model coefficients, p-values, and confidence intervals.

N/A - The adjustments added in the model update this time did not involve building a new model.

- d) Document any credibility procedures used in connection with the model.

N/A - The adjustments added in the model update this time did not involve building a new model.

- e) Describe the methods used to validate the assumptions and assess the goodness of fit.

N/A - The adjustments added in the model update this time did not involve building a new model. However, a lift chart and double lift chart have been included in Revised Confidential Exhibit D to show the added adjustments are reasonable and improve the overall matching of price to risk.

- f) Describe actions taken to assess model stability such as bootstrapping or cross-validation.

N/A - The adjustments added in the model update this time did not involve building a new model.

- g) Provide lift charts, Gini-index scores, loss ratio charts, and other statistics analyzed by the company during the modeling process. All charts and statistics should be based on selected (not indicated) values and be calculated using New Jersey data rather than the hold-out dataset. **Please see Lift Chart in Revised Confidential Exhibit D.**

- h) If this is an update of a model previously approved, provide a double-lift chart.

Please see Double Lift Chart in Revised Confidential Exhibit D.

4) Regulatory Compliance

- a) Is this model being implemented countrywide? If so, in what states has it been filed and/or approved?

This model is filed for use in New Jersey. While other states are making similar changes, the revisions for the model are specific to New Jersey only.

- b) Separate the lists into “prior approval” states versus “all other”.

N/A

- c) Is consumer demand considered in the model? If so, how?

Consumer demand is not considered in the model.

NEW JERSEY ACTUARIAL CERTIFICATION STATEMENT

I, Jeff Clinch , certify that the attached filing complies with all statutory and regulatory requirements and that all the information it contains is true and accurate. I further certify that I am authorized to execute this certification on behalf of the filer.



Signature

Actuary & Assistant Secretary-Treasurer
Title

309-766-9940
Phone Number

December 20, 2021
Date